This doesn't immediately imply that domestic issuers would rush to issue such debt, for they would have to pay more in bad times. But even though in a perfect world issuers would be indifferent between dollar and domestic currency debt, in the real world, ministers, bankers, and industrial managers might not be. Given an expected revenue stream with which to repay, the lower-interest dollar debt will allow the minister more borrowing upfront. If the country finds itself greatly constrained in its borrowing, dollar debt might be attractive even if a minister isn't myopic. If one adds the very real possibility that he doesn't look beyond his short term of office, a minister might be extra willing to accept the uncertain longer-run risk for the certain short-run budgetary flexibility. Similarly for bankers and chief executive officers of industrial firms.

In these circumstances, will the clever solution work? Absolutely not. The IMF and the World Bank would have to pay the same risk premium when they issue domestic currency-denominated debt as does the country. If the country borrowed in local currency through these institutions, it would simply add a costly layer of intermediation to its borrowing costs. That said, if international financial institutions were willing to step in to such an extent that the country didn't need to borrow from its own citizens – an extremely unlikely scenario – then the holders of the country's debt would all be foreigners and the country wouldn't need to pay a premium.

One should also be careful about condemning dollarization out of hand: banning it might seem another clever solution. Although a currency mismatch is a severe problem in the midst of a crisis, one cannot judge the merit of actions that led to it simply by looking at outcomes. There may be costs of banning dollarization – such as a lower ability for a country or firm to borrow or lower hedging possibilities. These have to be traded off against the potentially